DSEH004 Performance Management and Employee Engagement

Week 7 | Lecture 2 | Unit III

Engagement Strategy Frameworks

Horizons, strong HR systems, and why employees read the intent behind every practice

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Commit before theory

Two firms run the same wellbeing program. In one, engagement rises; in the other, it falls. What is the most likely reason?

A

One firm spent more money

B

Employees read different reasons behind the same program

C

One firm had younger employees

D

Random variation

Three horizons applied to engagement

Horizon 1

Defend the core now: fix hindrances, close basic justice and support gaps

Horizon 2

Build emerging capability: manager coaching, career paths, recognition systems

Horizon 3

Seed future options: new work designs, internal talent markets, new forms of voice

Baghai, Coley and White (1999) wrote about business growth; applying the horizons to engagement is Course framing

Deliberate and emergent strategy

Deliberate

- Intended plans realized as designed
- Clear targets and budgets
- Risk: rigidity when data change

vs

Emergent

- Patterns that form from many local actions
- Learns from what managers actually do
- Risk: drift without direction

Mintzberg and Waters (1985): realized strategy is usually a blend; engagement strategy should plan for learning

Bowen and Ostroff: a strong HR system

1 Distinctiveness

Practices are visible, understandable, relevant and backed by legitimate authority

2 Consistency

Practices send the same message over time and fit with each other

3 Consensus

Decision makers agree, and employees see the system as fair

When the system is weak, each employee interprets practices differently and the intended climate does not form

Nishii et al.: employees read the why

Commitment attributions

- Practice exists to improve quality of service
- Practice exists to support employee wellbeing
- Linked to more positive attitudes

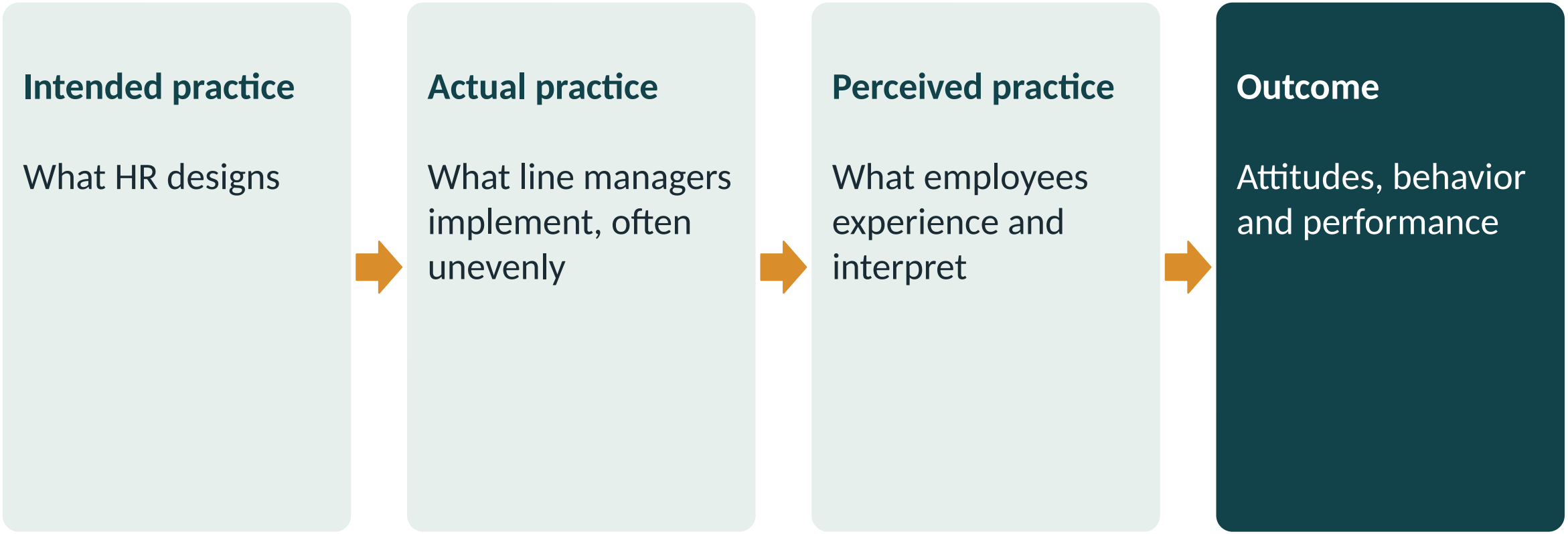
vs

Control attributions

- Practice exists to cut costs
- Practice exists to get the most out of employees
- Linked to weaker or negative attitudes

Nishii, Lepak and Schneider (2008): the same practice can build or damage engagement depending on the intent employees infer

The line manager is the delivery channel



Purcell and Hutchinson (2007): front-line managers bring HR policies to life, and the gaps open at each step

Who owns engagement?

Budget held centrally (top)

Corporate program

Central design and budget: consistent but slow to fit local needs

Funded local action

Central budget, local choices: flexible, but needs strong guidance

Policy without money

Central rules, local budgets: often ignored in tight years

Fully distributed

Local design and budget: fast, but weak consistency and consensus

Decision rights held centrally (left) or locally (right)

A wellness week that backfired

Teaching case (Course framing)

A Gurugram fintech launches a wellness week the same month it announces a hiring freeze and longer support shifts. Leaders say it shows they care. Pulse comments call it a distraction. Engagement drops in the support function but rises in product teams, whose managers joined every session.

Work it through

1. Which attribution did support staff likely make, and why?
2. Diagnose the system on distinctiveness, consistency and consensus
3. Where did the intended to perceived chain break?
4. Redesign the initiative across two horizons

Exam-style question

Why do well-designed engagement practices often fail to change engagement? Answer using Bowen and Ostroff (2004), Nishii et al. (2008) and Purcell and Hutchinson (2007). (20 marks)

What a strong answer does

- Explains HR system strength and its three meta-features
- Explains commitment versus control attributions with an example
- Traces intended, actual and perceived practice through line managers
- Proposes design changes and a learning plan

Sources

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